

3.3.2 BUSINESS GROWTH

Growth

Business growth is the point at which a business needs to expand and seeks options to generate more profits

Objectives of Business Growth

1. To achieve economies of scale (internal and external)
2. increased market power over customers and suppliers
3. increased market share and brand recognition
4. increased profitability.
- 5.

Objective 1: to achieve Economies of scale

Growth enables a business to benefit from economies of scale with a huge impact on the cost of production. If production is less expensive because average costs have fallen then this can increase the profit margins of the business OR they can choose to reduce prices to gain more market share

Benefits of Economies of scale

- The idea that as a business grows in size it will be able to gain competitive advantage in a number of ways;
 - By having more funds to buy stock, so being able to get better deals by buying in bulk
 - By having more power
 - By having more funds to pay for specialist staff
 - By having a better reputation so banks are more willing to lend
- We call these **economies of scale** (EOS)

Economies of Scale and Average cost

- Economies of scale occur when unit costs or average costs fall as a result as an increase in the level of output of the business.
- The more they make the cheaper it gets per item.
- ANY EOS question should be about how increasing output means a business can lower its average costs. They are like shoes – you need both to be comfortable.

Financial Economies of Scale	Large firms can benefit from cheaper loans and wider sources of cheap finance (investment from shareholders)
Marketing Economies of Scale	The advantages that large firms get in relation to buying and selling. Large firms can attract specialist buyers who don't waste money buying stock that will not sell. They also have specialist sellers/marketing staff who ensure that goods will sell. Big firms benefit significantly from being able to "buy in bulk"
Technical Economies of Scale	These are the advantages that large firms have when it comes to the production process. Large firms can employ specialist labour and capital which stimulates productivity and reduces average costs
Managerial Economies of Scale	Large firms have the money/resources to attract the most productive/efficient/specialist managers who make the most effective business decisions and increase efficiency over time
Risk- Bearing Economies of Scale	Large firms benefit from having wider, more diversified product range. This means that they are better able to withstand the risk of a fall in demand for one good or service

Bulk-buying / purchasing economies

- As businesses grow they **need** to order larger quantities of production inputs.
- As the order value increases, a business obtains more bargaining power with suppliers.
- It may be able to obtain discounts and lower prices for the raw materials or commodities

Technical economies of scale

- Businesses with large-scale production can use more advanced machinery (or use existing machinery more efficiently).
- This may include using mass production techniques, which are a more efficient form of production. Fixed costs of purchasing machinery spread over higher levels of output.
- A larger firm can also afford to invest more in research and development.

Managerial economies of scale

- As a business grows larger they will need to take on specialist staff for some of the more technical roles
- For example a larger business may hire their own accountancy staff, where a smaller business would not be able to afford such trained staff and would have to outsource the finance function

Financial economies of scale

- Small businesses find it hard to obtain finance or the cost of the finance is often quite high.
- Small businesses are perceived as being riskier than larger businesses that have developed a good track record.
- Larger firms therefore find it easier to find potential lenders and to raise money at lower interest rates.

Marketing economies of scale

- Every part of marketing has a cost.
- As a business gets larger, it is able to spread the cost of marketing over a wider range of products and sales – cutting the average marketing cost per unit.
- So for example a larger business may have an extensive portfolio of products but may choose to just market the corporate brand name e.g. Nestle not KitKat

Risk bearing

- Bigger companies can spread their risk by investing in more products and more markets
- This is called diversification, a great example of this is TATA which owns Tetley tea and Jaguar Land Rover

External EOS – it refers to the cost reduction available to all firms as an industry grows

- **Labour:** the concentration of firms may lead to the buildup of a labour force with the skills required by the industry. Training costs may be reduced if workers have gained required skills from another firm in the industry
- **Ancillary and commercial services:** An established industry tends to attract smaller firms that are trying to serve the particular industry's needs. A wide range of commercial and supplier services can be offered
- **Co –operation:** firms in the same industry are likely to co-operate if they are concentrated in the same region. They might work together to find a research and development centre for the industry
- **Disintegration:** it occurs when production is broken up so that more specialization can take place. When an industry is concentrated in an area, firms might specialize in the production of one component. Then they would transport it to a main assembly point.

Objective 2: Increased market power over customers and suppliers

Another objective of a business wanting to grow maybe to reduce the power of suppliers and customers

This is the short to medium term objective which flows from the longer term objective of the business to increase profitability

When a firm grows they can gain more market share and dominate the two stakeholders (customers and suppliers) in a market and force smaller businesses to close down.

- **Customers:** if the competition in the market is limited higher prices can be charged as customers has less choices they are forced to pay the higher prices charged by dominating firms. Product choices are also likely to stay limited for consumers as dominating firms won't have the need to innovate and make new variations of products due to the lowered competition

- **Suppliers:** dominant businesses may be able to force the cost of materials and commercial services down if it buys in large quantities from smaller suppliers who relies mostly on the dominating large firms for their sales
- However, if a firm exploits consumers and suppliers it may attract authorities to carry out investigations.

Objective 3: Increased market share and brand recognition

In dynamic and competitive markets, businesses may seek to grow to achieve increased market share – for example the supermarket industry in the UK is very driven by market share

Other businesses may seek to buy other businesses in the same industry in order to acquire recognised brands

As a business grows and acquires more market share their brand becomes stronger. this allows for:

- Charging higher prices
- Make the product distinct from rivals
- Create customer loyalty
- Achieve greater product recognition
- Develop an image
- Launch new products easily
- Attract media attention and promote the business more.

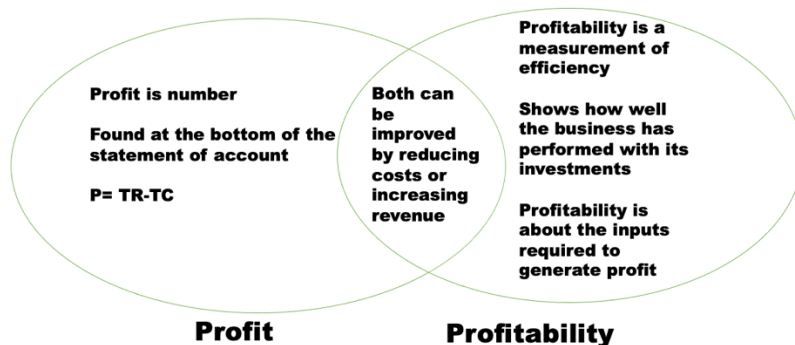
Objective 4: Increased profitability

Many businesses seek to grow and expand to increase their profitability

This means as they increase their output production becomes cheaper per unit (Economies of Scale) and the whole business becomes more profitable because costs are reduced

As profits increases returns to owners will grow and firms will have more money to invest and innovate new products and make acquisitions and grow further

Objective of growth 4: Increased profitability



Distinction between inorganic and organic growth

Inorganic growth

This means that a business has grown by buying its way into being larger, this may be through;

- A merger
- A takeover (also known as an acquisition)
- A joint venture

Organic growth

Organic growth means that the business has **grown from within**

The business has grown within itself without a merger or takeover with another business

This may be through;

- Increasing the product range
- Opening more branches
- Taking on more staff

Organic growth

Organic growth is the growth rate a business can achieve by increasing output and growing sales internally, without the help of a takeover, acquisition, or merger.

Methods of growing organically

There are lots of ways that a small business can grow, many are industry specific, but the ones your exam board would like you to know are:

1. New product launches
2. Opening new stores or branches
3. Expanding into foreign markets
4. Expansion of the workforce

1. New product launches

- A business can grow from within by launching new products
- This will increase the size of their product portfolio and cater to new markets
- If the risk pays off then the business will be able to enjoy increased revenue and profits
- In contrast inorganic growth would be buying a product or brand

2. Opening new stores or branches

- A business can grow organically by opening a series of new stores or outlets
- This could be in the UK (National) or in other countries (International)

- In contrast inorganic growth would be buying another business with a chain of shops and changing them into the home brand e.g. when Co-op bought Somerfield

3. Expanding into foreign markets

- A business can grow organically by expanding into foreign markets
- For example Marks and Spencer aims to open 250 stores outside the UK, including 20 sites in India
- It also plans to open 20 stand alone food stores in Paris and some new stores in the Middle East
- In contrast inorganic growth would be when a business buys another similar business in another country and grows that way

4. Expansion of the workforce

- A business can expand organically by taking on new staff
- For example: Discount supermarket Aldi has unveiled a £600 million expansion which includes hiring 8,000 more staff and opening hundreds of new stores
- In contrast inorganic growth would expand the workforce by merging, this may be to secure highly trained staff easily e.g. solicitors or vets

Advantages of Organic Growth

- This avoids all the risks and pitfalls of merging with another business
- Cheaper than merging
- Retains the company culture
- Can be planned for unlike a takeover
- Higher production means economies of scale and lower average costs
- More influence comes with more market share, can start setting prices for the industry

Disadvantages of Organic Growth

- This is a very high risk strategy, opening lots of stores and taking on thousands of new staff is very risky and capital intensive
- Long period between investment and return on investment
- Growth may be limited and is dependent on reliability of sales forecasts
- New markets and countries can be dangerous to enter into without buying a business already operating in that country

Assess the likely impact on business of its decision to grow the business organically

- Risk profile is lower.
- The business controls organic growth itself.
- Cash flow and liquidity is not put under strain.
- Organisation of the business is easier.
- Avoids diseconomies of scale.

Potential counterbalance

- Does not benefit from knowledge of other business gained through inorganic growth.
- Not capitalising on market opportunities abroad where demand is potentially income elastic.
- Economic growth means crisp market is getting larger.
- Not growing as fast as other manufacturers.
- Prevents the ability to exploit significant economies of scale.

Inorganic growth

Inorganic growth a business growth strategy that involves two or more business joining together to form one much larger one

Mergers and takeovers:

A takeover is also known as an acquisition. This is a legal deal where one larger business purchases a smaller one

If the deal is unwanted by the management or board of directors then this is a “hostile take-over”

A merger is a legal deal to bring two businesses together under one board of directors. The businesses are usually around the same size and the name is normally changed (although not always)

Things you should know

1. reasons for mergers and takeovers
2. distinction between mergers and takeovers
3. horizontal and vertical integration
4. conglomerates
5. financial risks and rewards.

1. Reasons for mergers and takeovers

- There are lots of industry specific reasons that one business will merger or takeover another, the ones that your exam board would like you to know about are:

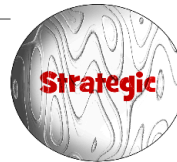
• TATICAL

1. **Attempt to ensure increased market share**
2. **Access to technology, staff or intellectual property**



STRATEGIC

1. **Access to new markets**
2. **Improved distribution networks**
3. **Improved brand awareness**



Tactical reasons for mergers and takeovers

To ensure increased market share

- US payment processing giant Vantiv has agreed to merge with Worldpay in a deal which values its UK rival at £9.3bn (\$12.1bn; 10.3bn euros). "The combination of scale and presence the merger will bring is an exciting step in the creation of a truly global leader in payments," said Worldpay.

Access to technology, staff or intellectual property

- US drugs giant Pfizer has sealed a deal to buy Botox-maker Allergan for \$160bn (£106bn) in what is the biggest pharmaceuticals deal in history. The takeover could allow Pfizer to escape relatively high US corporate tax rates by moving its headquarters to Allergan's Dublin base.

Strategic reasons for mergers and takeovers

Strategic access to new markets

- Adidas the German company bought Reebok in 2005 to help them take on Nike. The merger gained the business access to new markets in Asia. The merger made Adidas the second largest sportswear manufacturer after Nike in the USA

Improved distribution networks

- The world's biggest producer of canned tuna, Thai Union Frozen Products, is buying Norwegian seafood firm King Oscar, for an undisclosed sum. Thai Union, which owns the 'John West' and 'Chicken of the Sea' brands, is looking to increase earnings overseas to offset slowing sales at home.

Improved brand awareness

- On March 2006 L'Oreal bought the Body shop Brand for £652 million. The French firm L'Oreal said Body Shop would enhance its business because of its "sizeable and complimentary brand" across 54 countries, which delivered revenues of £419m last year. L'Oreal is a manufacturer and Body Shop is a franchised retailer.

Other points that you can bring based on given case study

To exploit the synergies:

- This means that two businesses joined together form an organization that is more powerful and efficient than the two companies operating on their own.
- Synergy refers to the combining of two or more activities or businesses which creates a better outcome than the sum of the individual parts
- Synergies arise from economies of scale, reduction of risk through diversification, the potential for gains by management, potential for asset stripping

Quick and easy way to expand

- Buying a business that already owns a chain of stores and changing them is a fast way to grow

2. Distinction between mergers and takeovers

<u>Mergers</u>	<u>Takeover- friendly</u>
• A merger is when two businesses have agreed to join forces to make a third company. • conducted with agreement of both firms • the name is formed by the name of the original names of the two firms 2015 Kraft merged with Heinz to become Kraft Heinz Company. This is now part of the MNC Mondelez	○ also known as acquisition, A business may be struggling with cash flow problems and invite a takeover from a stronger business ○ process of one business buying another ○ this could be carried out by acquiring 51% of shares
	<u>Takeover-hostile</u> ○ The board of directors will try and resist the takeover, but if another business gets 51% shares they can takeover management and control ○ private limited companies cannot be taken over unless majority of the shareholders invite others to buy shares

3. Horizontal and vertical integration

- To be able to understand vertical and horizontal integration in mergers and takeovers, you need to first understand the three sectors in business (geography has four but we ignore that):



Primary Sector
businesses that are involved in digging, fishing, mining to remove products from the planet at source E.g. a farm or quarry



Secondary sector
business that are involved in manufacturing raw materials into other products e.g. Clothes factory, ice cream factory



Tertiary sector
are businesses that sell goods to the customers e.g. Shops, banks, insurance companies

Horizontal integration:

Businesses operating in the same sector (e.g. tertiary) merge or takeover another business in the same sector

Vertical Integration:

Vertical integration is when one business in one sector takes over or merges with a business in another sector or part of the supply chain

- Forward vertical Integration – joining with next stage of production
- Backward vertical integration – joining with previous stage of production

4. Conglomerates:

A large business organization which owns a number of other firms in different sectors or stages

Advantages

- wide range of business interests spread the risk of the enterprise
- group revenues and profits can be supported by other businesses in the conglomerate
- very large and powerful
- exploit economies of scale
- influence the market

Disadvantages

- diversification can lead to difficulties
- can become a confusing body that is failing to maximize to its full potential

5. Financial risks and Rewards

Financial risks of mergers and takeovers

- Original purchase cost
- Cost of change into a new business
- Redundancies of duplicate staff e.g. two marketing managers, two finance managers etc.
- Cost if it all goes wrong
- The businesses that have merged may outgrow their premises in the short-term. There may not be enough space for everyone to work efficiently.
- Morale may drop if staff cannot cope with the extra work so productivity can decrease.
- There may be a shortage of cash to meet expansion costs.
- Taking on more and more work to generate more income places additional pressure on the premises and staff.
- Management may be under pressure, operating reactively rather than proactively.

- The quality of the products and services could drop, causing an increase in customer complaints.
- The business may even lose customers to their competitors.
- Staff turnover may increase due to heavy workloads. Vital knowledge could be lost as staff leave. Hiring and training new staff takes time and money.

Financial rewards of mergers and takeovers

- Increased revenue
- Economies of scale
- Stakeholder benefits – premium and dividend

ADVANTAGES OF INORGANIC GROWTH

- Rapid expansion – which is important in dynamic markets
- Instant access to supply and distribution networks
- Save the business time and money setting up their own products or brands (particularly in another country)
- May take out a potential competitor
- Spreads risk (if the merger is diverse)
- An opportunity for the business to acquire already successful brands
- Can fill gaps in product portfolio (Boston Matrix)

DISADVANTAGES OF INORGANIC GROWTH

- Businesses that merge may suffer from clashes of corporate culture
- May also suffer from lack of synergy and teamwork
- Mergers often don't deliver the anticipated benefits
- Expensive and can cause diseconomies of scale
- Problems may arise such as communication or distribution
- Regulatory intervention
- Loss of managerial control

Problems arising from growth

1. Diseconomies of scale:

it occurs when diseconomies of scale occur if a business expand its scale of operation further than the minimum efficient sale. This is where average costs rise as output rises.

- Internal diseconomies of scale – rising costs caused by excessive growth in the business
 - Poor communication: long chain of command – many layers of management in the hierarchical structure – difficult to manage information – lose touch with customers – unable to identify changes in customer needs
 - Control and coordination: business has to employ many different resources at different operational locations along with many supervisors and managers to keep adequate control. This leads to the increasing of business costs.
 - Poor worker motivation: individual workers becomes a minor part of a large workforce – makes them feel unimportant – high staff turnover levels – increase absenteeism – increase labour costs.
 - Technical diseconomies: factors of production usually has an optimum capacity and if they are overused it becomes inefficient
 - Bureaucracy: bureaucratic businesses uses too much resources in administration- decision making may be slowed – communication channels too long – average costs starts to increase.
- External diseconomies of scale – when an industry grows too big
 - Rapid growth in the industry can result in the price of FOP to rise sharply
 - Growing demand for them drives up the prices
 - Most likely to occur when an industry grows in the same geographical location
 - Congestion in areas might lead to inefficiencies as delays are caused to deliveries and employees travelling to work

2. Internal communication

- The exchange of messages and the flow of information inside a business
- Long chain of command – misunderstandings and misinterpretation and arguments between workers and managers
- Reduce productivity
- Resources maybe wasted due to lack of effective communication
- Conflicts between departments
- Missed opportunities and higher costs

3. Overtrading

- Occurs when a firm tries to find a large volume of new business without sufficient resources. As a result, it runs out of cash and at worst collapse
- Overtrading can also occur
 - When business operates with a small profit margin
 - When they offer too much trade credit to customers
 - When they don't have sufficient capital levels.